

Calderwood Partners LLC

www.calderwoodpartners.com

January 28, 2018

Steven Lowe

VP Finance

Key Group

Re: Designing a shared services organization

Dear Mr. Lowe:

We are glad to take on this work, and this letter puts our understanding in writing before it starts. It sets out the scope, the fee, the schedule, and the terms that govern the engagement between our firm and Key Group. I have written it in plain terms and kept it short. Read it against what we discussed; if anything reads differently, call me before you sign and I will correct the wording.

The Work

Key Group today runs finance, human resources, information technology, and procurement support inside each of its operating units. The same roles sit in unit after unit, and no one owns the question of whether that is the right way to deliver them. You have asked us to answer it: whether those functions are better provided from a single shared organization, and, where they are, to design that organization and the route to standing it up. This is a design engagement. It ends with a recommended model and an implementation plan, not with the model in operation.

The work proceeds along four lines.

- A baseline of the support functions as they run today: what each unit spends on them, how many people perform them, and the service levels they deliver.
- A design for the processes a shared organization would take on, together with its service catalogue, the service levels attached to each service, and the way its costs are charged back to the units it serves.
- An organization and governance design: reporting lines, spans of control, where the work sits, and the decision rights that keep the shared organization answerable to the units.
- A business case and a staged plan to stand the organization up, sequenced so that the least disruptive moves come first and each stage stands on its own.

It is worth marking the edges of the work, so that nothing you expect is left unstated. We design the shared organization; we do not operate it, hire into it, or run the transition once it begins. We do not give legal, tax, or accounting advice; where a question turns on any of those, we identify it and refer you to your own advisers. We do not select or install software; where the analysis reaches a systems question, we frame it and leave the decision with you.

Our Approach

We build from Key Group's own operating and financial records rather than from sector benchmarks, and every figure in a deliverable traces to a worksheet we can produce on request. We keep findings apart from recommendations and label each, because the two do not carry equal weight. We bring interim results to you as they firm up, so that the final material contains nothing you are seeing for the first time. Where a number rests on data we do not yet hold in full, we state it as a range and say so, and we close the range before it carries a recommendation.

Who Will Do the Work

Jason Torres, Principal, leads the engagement and is your point of contact on anything of substance in the work. Daniel Cisneros, Research Associate, assembles the baseline data and the cost model and keeps the record of what we were given and by whom. I read each deliverable before it leaves this office. On your side, we will treat you, Steven Lowe, as our contact for scheduling, data, and the decisions the work calls for, unless you name someone else to hold that role.

Fee and Timing

Our fee to Key Group is \$105,500, fixed for the scope described above. We expect to begin on February 7, 2018 and to reach a final recommendation and implementation plan approximately eight months later. If you ask us to widen the scope, we will price the addition in writing and will not begin it until you have agreed that price. We prefer a fixed fee here so that your people can work with us without watching a clock.

Billing and Payment

We invoice the fixed fee in equal monthly installments across the term, each payable within thirty days of the invoice date. Out-of-pocket costs, chiefly travel to your locations, are billed at cost and itemized on the invoice. We do not mark them up.

Duration and Termination

The engagement runs from the start date above until we deliver the final recommendation and plan, unless one of us ends it earlier. Either party may terminate on fifteen days' written notice, for any reason or none. On termination you owe the fee for the work performed to the effective date, prorated against the fixed fee, together with expenses already incurred, and we hand over the work in whatever state it has then reached.

Confidentiality

The cost, headcount, and service data behind an operating-model decision is among the most sensitive information a company holds, and we treat it so. We will use what you give us only for this engagement, and disclose it outside our firm only as you direct in writing or as the law requires. We ask the same of you with respect to our methods, our workpapers, and the fee recorded in this letter.

Limits on Liability

Our total liability arising out of this engagement, whether framed in contract, in tort, or on any other basis, is limited to the fees actually paid to us under it. Neither party will be liable to the other for indirect or consequential loss, including lost profits, however arising. This limit does not reach our own fraud or willful misconduct. Our deliverables are prepared for your internal use; if you intend to put one before a third party who may rely on it, raise it with me first so that we can address the reliance in writing.

Governing Law

This letter is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules. Any dispute we cannot settle between us will go to mediation before either party turns to a court.

To proceed, please countersign both originals and return one to me for our file; the other is yours to keep. We are ready to begin this work for Key Group on the date named above, and Jason Torres will be in touch to arrange the first working session.

Sincerely,

Julie Ramsey

Managing Principal

Date: January 28, 2018

Steven Lowe

VP Finance, Key Group

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